Energy shock drives broader inflation in Belgium - a warning sign for Europe

April's inflation jump in Belgium is no longer "just energy". It's starting to look broader. If this were to be seen across the eurozone, the European Central Bank would need to act or risk falling behind the curve again

2022 all over again?

For a central bank, a stagflation shock is a policy nightmare. Hiking rates won't lower oil prices, so it barely touches the root cause of inflation. Worse, higher rates would hit demand that is already squeezed by lost purchasing power. Yet if demand holds up, firms can pass costs on, and inflation broadens. That's exactly what happened in 2021–2022: what looked like a temporary energy spike became the strongest inflation surge since the 1970s, helped by post Covid pent up demand. The question is: are we heading down that path again?

A quick, sharp shock

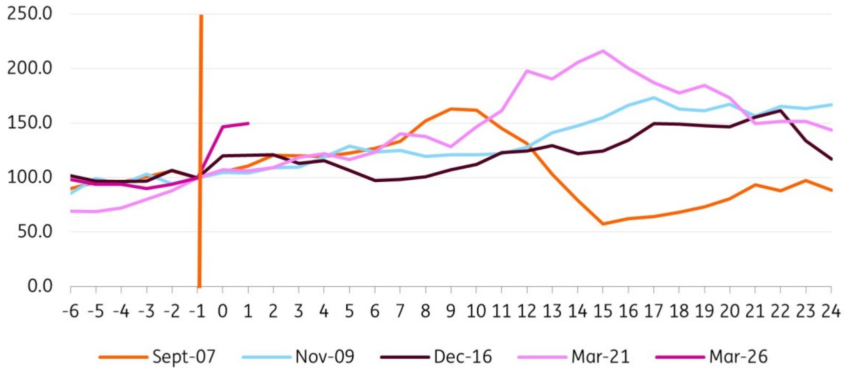
Central banks, therefore, need to track prices closely to see whether the energy shock stays contained, or turns into a broader inflation wave. In Belgium, early signs of spillover are starting to stack up.

The initial jump in energy prices has been striking. The chart below compares recent episodes of oil shocks (here: at least +10% year on year in euro terms). It is rare to see oil rise this sharply and this quickly. As a consequence, Belgium's energy inflation swung from around –8% in January to above +12% in April.

This surge pushed Belgian headline inflation from 1.65% in March to 4% in April. Still, a broader inflation wave is not guaranteed. A violent energy shock can also curb consumption enough to limit pass through. To judge the risk, we need to look beyond headline figures.

Oil prices: the sharpest rise in 20 years

(oil price in euros during oil shocks; start of shock = 100)



Source: LSEG Datastream. Note : An oil shock is defined here as an increase of at least 10% in the price of oil in euros.

Belgium: signs of spillover

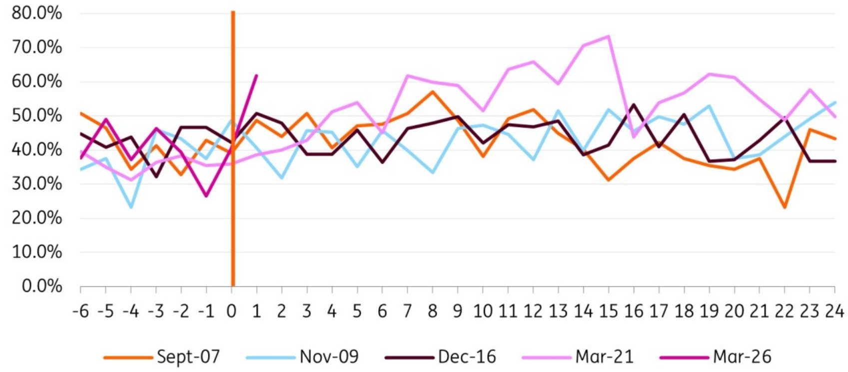
Belgium's consumer price index tracks roughly 215 categories of goods and services, each weighted by its share in household spending.

To see whether the shock is spreading, we can examine how prices move across those 215 items. In Belgium, the distribution is already shifting in a worrying direction:

- In a typical month, the price of 46% of items rises by at least 2%. That share was 39% early this year, but jumped to 51% in April.
- On a yearly basis, 24% of items usually run above 4% inflation. The share moved from 21% at the start of the year to 27% by April.
- Most telling: the share of items whose inflation rose versus the previous month. Historically, it averages 43%. It fell to 27% early this year, as a clear sign of inflation normalisation, then surged to 62% in April, a level rarely seen (chart below). During the last inflation wave, this metric led headline inflation (62% in Oct 2021; peak 73% in Jun 2022).

Low inflation early in the year made April's jump look even sharper. But it is becoming harder to argue that this is "just" energy. If April's pattern persists, and especially if it spreads across the euro area, the ECB's lesson from 2022 is clear: move early, or risk falling behind the curve again.

Share of items whose inflation increased month to month, across oil shocks



Source: Statbel. Computation: ING

Competitiveness at stake

In Belgium, inflation quickly feeds into competitiveness and public finances. Automatic indexation links wages and many benefits to prices, so inflation shocks rapidly lift labour costs and government spending. This renewed inflation will trigger nominal wage increases that were not priced in at the start of the year. Because neighbouring countries adjust more slowly, Belgium risks a short term competitiveness hit.

That said, the government had planned to tweak indexation from July. For a limited period, pay above the median wage (€4,000 gross) and benefits/pensions above €2,000 would no longer be fully indexed beyond those thresholds. The proposal satisfies neither workers, who would lose purchasing power, nor employers, who will face extra social contributions in exchange for the capped indexation system.

Unions and employers negotiated an alternative: keep automatic indexation, but smooth its timing, so wage costs adjust more gradually and competitiveness shocks are less abrupt. Despite the difficult social climate, the government has so far rejected this historic deal, arguing it would cost the public finances more in the short run than its own plan.

The timing of this new energy shock could hardly be worse: the price shock intensifies the debate over automatic indexation for most incomes, and raises the stakes for business competitiveness.

Author

Philippe Ledent
Senior Economist, Belgium, Luxembourg
philippe.ledent@ing.com

Hormuz oil shock tilts shipping towards alternative fuels

The current oil price shock is making alternative fuels more cost competitive in the shipping sector. LNG benefits the most, becoming even more attractive compared to conventional bunker fuels. Methanol is also becoming more viable, strengthening the case for methanol-ready vessels. Still, the emissions benefits remain limited

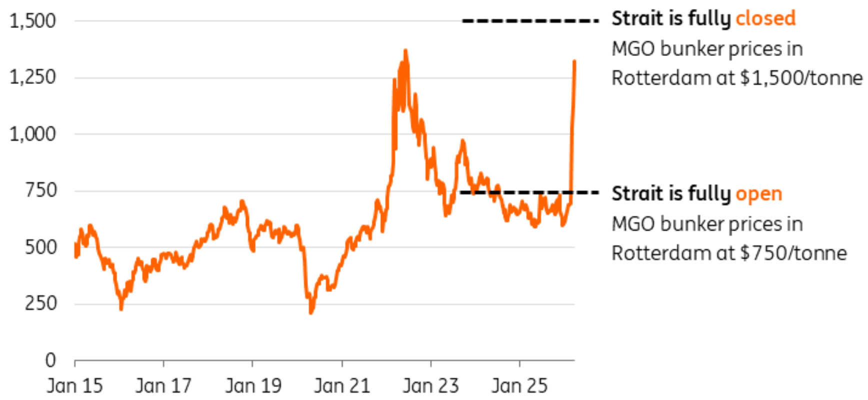
Hormuz disruption has disrupted oil supply and pushed shipping fuel prices higher

Alternative fuels more attractive now as oil shoots higher

The Middle East conflict and blockade of the Strait of Hormuz have disrupted oil supply and pushed shipping fuel prices, like marine gas oil (MGO), sharply higher. In this environment, fuel strategy is no longer just about cost, but also about securing supply and managing price risks. At the same time, higher prices and greater uncertainty are shifting the relative economics of alternative fuels, even as regulatory progress has slowed with the delayed introduction of a global carbon price under the IMO's Net Zero Framework.

Prices for Marine Gas Oil spiked due to the closure of the Strait of Hormuz

MGO bunker prices in Rotterdam in $ per tonne; we'll analyse two scenarios



Source: ING Research based on Refinitiv

Our modelling shows how the costs and economics of renewable fuels of non-biological origin (RFNBOs) – also called synthetic or e-fuels – change in a high oil price scenario, from a Northwest European perspective. The Middle East war has squeezed the supply of oil and oil products. LNG is similarly affected, but less so, as more capacity is coming online, and natural gas continues to be supplied through regional production and pipelines.

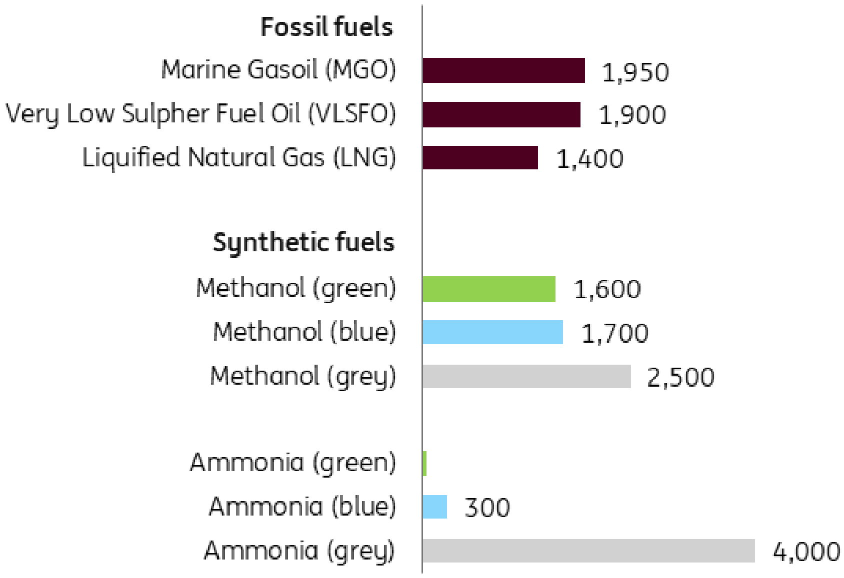
Our analysis translates the current geopolitical risk into a simple message for shipowners and cargo owners: when oil products spike and gas rises less, the relative economics of LNG and (to a lesser degree) methanol and even ammonia improve quickly, even if the absolute cost of all energy carriers rises.

Decarbonisation requires shift to lower carbon fuels

While geopolitical tensions do not alter the fundamental science behind decarbonisation, and hence emissions, they do influence the economics of the business case for different fuels. Traditional marine fuels such as marine gas oil (MGO) and very low sulphur fuel oil (VLSFO) currently generate approximately 1,900 kg of CO_2 per deadweight tonne for every 1,000 kilometres sailed. This carbon footprint can be lowered by transitioning to alternatives like LNG or synthetic fuels, like methanol and ammonia. However, meaningful climate benefits are achieved only when vessels use the green or blue variants of these synthetic fuels. Just switching to grey methanol or ammonia would only worsen the footprint to 2,500 or even 4,000 kg of CO_2.

LNG and blue and green versions of synthetic fuels can reduce carbon emissions from shipping

Indicative well to wake emissions for different shipping fuels in kilograms CO2 per deadweight tonnage per 1,000 kilometres (kgCO_2/DWT/1,000km)



Source: ING Research

See the end of the article for a detailed explanation of the model and its underlying assumptions. In this analysis, the “colour” reflects the pathway used to produce hydrogen: grey hydrogen is derived from unabated natural gas; blue hydrogen combines natural gas with carbon capture and storage (CCS); and green hydrogen is produced with electrolysers powered by low‑carbon electricity. A key nuance is that methanol molecules inherently contain carbon. As a result, combustion always releases CO_2, regardless of the production pathway. Even green methanol therefore leads to residual emissions at the point of use. In addition, our modelling assumes that the carbon input for methanol production is sourced from natural gas, which reflects current industry practice in Europe. We therefore do not account for potential negative emissions that could arise from alternative carbon sources such as biomass or direct air capture (DAC).

Structural changes in fuel prices can significantly influence how and when alternative solutions are adopted within the shipping industry. To assess this impact, we examine the impact of current high prices on the business case for oil and gas-based shipping fuels and synthetic fuels like methanol and ammonia. The duration of elevated fuel prices remains a subject of intense discussion and is closely tied to ongoing geopolitical developments surrounding the closure of the Strait of Hormuz, as well as the potential damage to oil and gas infrastructure in the Middle East from further conflict. You can find our most recent scenario analysis here. In this article, we set aside geopolitical factors and focus solely on how sustained higher prices affect the cost dynamics of various fuels.

When oil products remain high, LNG becomes more attractive

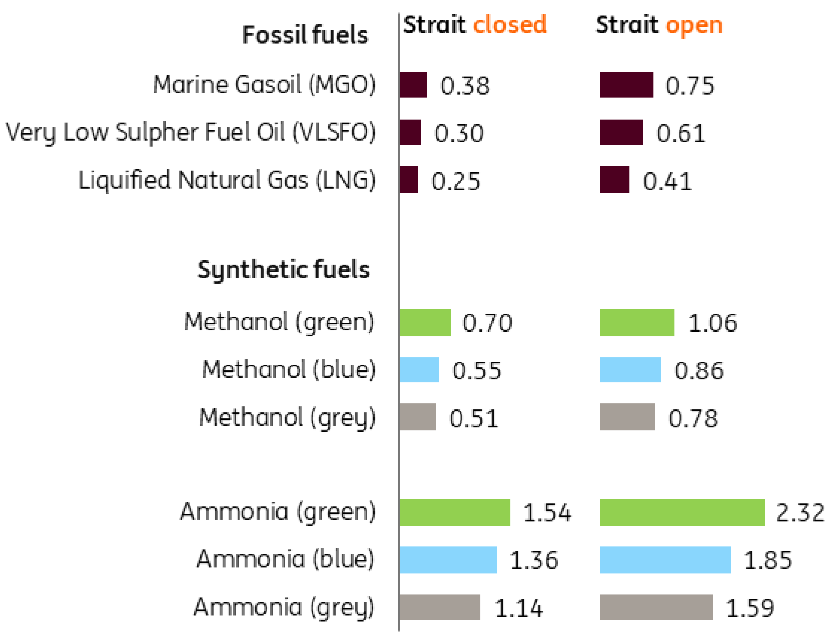
In the high-price scenario – the one most relevant under a continued Hormuz disruption – oil products become the big movers:

- MGO rises from 0.38 to 0.75 $/DWT/1,000km (+97%)
- VLSFO rises from 0.30 to 0.61 (+103%)
- LNG rises from 0.25 to 0.41 (+64%)

The key mechanism is that the high case hits oil products harder than gas and power inputs. LNG becomes the most attractive "available now" hedge. In other words, the Hormuz-driven oil shock makes LNG not only a transitional decarbonisation option, but also commercially the most attractive option.

LNG gets more competitive as the Strait of Hormuz remains closed and price gap with green and blue methanol narrows

Indicative unsubsidised costs of shipping fuels in $/DWT/1,000km



Source: ING research based on energy prices from Refinitiv and fossil fuel prices in shipping from Clarkson

Methanol gains traction faster than ammonia

Over the last three years, methanol has outpaced ammonia in commercial momentum in deep-sea shipping. There are four practical reasons:

1. Engine and vessel adaptation is simpler and faster. Methanol can be used in internal combustion engines with fewer "system-wide" changes than ammonia, which require more extensive redesign and new safety systems.
2. Bunkering and handling are more straightforward. Methanol is a liquid at ambient conditions, which reduces complexity compared to ammonia configurations.
3. A "ready now / ready later" option exists. Orders for methanol-capable and methanol-ready

dual-fuel vessels have become a pragmatic bet: shipowners can run on conventional fuels today and switch as low-carbon methanol supply grows. It is also a hedge against the possibility that policy pushes faster toward low-carbon fuels than infrastructure.

4. From a cost perspective, methanol is currently more attractive than ammonia.

Methanol's CO2 footprint signals a downside; only blue and green deliver progress

Methanol still contains carbon, which is emitted as CO2 when burned. This limits its CO2 reduction potential compared to ammonia, which is carbon free at the tailpipe. Only blue and green methanol deliver emission reductions relative to MGO and VLSFO and even then, the emissions reduction seems to be modest compared with LNG, at least in our framework, where methanol is currently predominantly produced from natural gas in Europe, compared to biomass (as a future green alternative), or coal (common practice in China). This matches our earlier warning: synthetic fuels can increase emissions if they are produced in a non-sustainable way, because the production chain is energy-intensive and the carbon intensity of inputs dominates outcomes. The economics and climate credentials of gas-based methanol remain challenging compared to LNG, even when produced as blue or green variants.

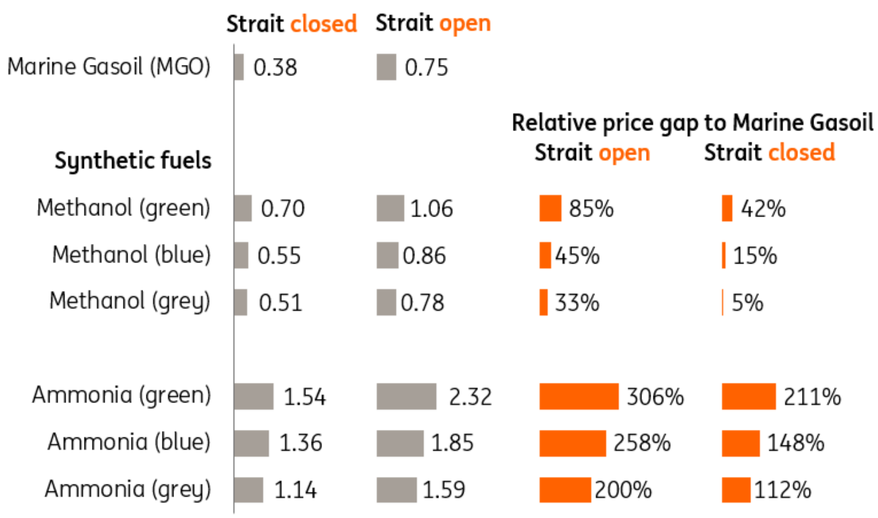
Methanol's biggest strategic value may be its optionality. When oil-product prices become more volatile, the value of being able to switch fuels - or at least switch procurement strategy – rises. That is precisely where dual-fuel capability becomes more than a decarbonisation story; it becomes a resilience story.

The oil shock narrows the methanol–oil price gap

Our model outputs show that higher prices for bunker fuels narrow the gap between methanol and marine gas oil (MGO). MGO roughly doubles in price, while methanol rises by about 50–60%. So relative competitiveness improves for methanol: while it is still more expensive, the *distance* between oil and methanol shrinks. But two important caveats remain. Oil products like MGO and VLSFO remain cheaper than blue and green methanol.

Price premium of synthetic fuels has narrowed now that oil prices are higher

Indicative unsubsidised costs of shipping fuels in $/DWT/1,000km



Source: ING Research

Why blue methanol is probably the attractive variant

Given that the green hydrogen market is still stuck in a pilot phase, blue methanol is a plausible near-term stepping stone: it scales earlier because it depends on gas plus CCS rather than small scale electrolysers. This “blue-first, green-later” pathway is also consistent with how many heavy-industry transitions unfold: deploy the imperfect-but-better option first, then upgrade as clean technologies become cheaper and renewable power becomes more abundant.

Ammonia remains on the radar: expensive now – promising in the long run

Ammonia is expensive in its blue and green variants, but this would offer strong climate benefits and real progress in CO2-reduction. Despite its challenging economics and inherent toxicity, market participants have not dismissed it as a viable option. The perception seems to be shifting from probably not to probably yes. But efficient usage is also a longer-term bet. Participants in the shipping sector now mostly refer to grey ammonia, which is already abundantly available for other purposes. But then again, this comes with more emissions, so it should not be viewed as a sustainable solution. However, overtime, blue and green variants could become more attractive if costs come down and carbon pricing is introduced.

LNG holds the best cards

LNG still looks like the stronger near-term route for ship owners, based on our numbers, because it combines lower emissions with lower costs compared to oil products. So, the Middle East oil supply crunch could accelerate a shift away from conventional fuels without necessarily accelerating a shift to synthetic fuels, like ammonia and methanol. It rewards the “closest substitute” that is available at scale, which is LNG.

That creates a strategic tension for the sector and for policymakers: energy security and cost pressures may drive faster adoption of LNG, while net-zero targets still require a ramp-up of truly low-carbon fuels like biofuels and synthetic fuels from blue and green production routes.

LNG vessels offer future flexibility for conversion to ammonia

While ammonia presents certain safety challenges, it holds significant long-term promise as a shipping fuel. The possibility of converting LNG-capable vessels to run on ammonia in the future enhances their strategic value, providing shipowners with greater flexibility. Investing in LNG-powered vessels is not only a cost-effective and lower-emission option in the near term, but also future-proof fleets, by allowing for a smoother transition to ammonia as technology and regulations evolve. As gas-propelled vessels, these ships can be adapted to operate on ammonia, supporting both decarbonisation goals and resilience in a changing energy landscape.

General momentum slowed amid policy headwinds

The total orderbook in global shipping also confirms that LNG leads as an alternative fuel. In May this year, 28% of the over 7,000 vessels on order are capable of running on alternative fuels, over half this share can run on LNG (15%). Methanol comes second, with particularly recent investments by several container liners.

After a post-pandemic acceleration, we saw orders for ships capable of running on alternative fuels slowed in 2025. During the second Trump administration, the United States shifted its policy and effectively lobbied International Maritime Organization (IMO) members to oppose the adoption of global measures aimed at advancing the industry's climate ambitions and implementing a carbon pricing mechanism. Against this backdrop, companies – including frontrunners like Maersk - are still pursuing a diversified strategy and keeping their options open.

All eyes on IMO as shipping needs a global carbon price to decarbonise

The IMO's Marine Environment Protection Committee is still discussing a framework to deliver on the previously agreed net-zero target (NZF) for 2050. The proposal agreed in 2025, which has since been postponed by member states, includes a carbon price of $100 per tonne of CO_2 for emissions within the baseline, and $380 for non-compliance (we discussed the details here). Such a system could further narrow the cost gap with synthetic fuels and help pass additional costs along the value chain. After a year of delays, adjustments to the 2025 proposal now appear likely as stakeholders seek a compromise. However, it remains uncertain whether a final agreement will be reached.

It's important to keep in mind that shipping costs typically represent less than 5% of overall product costs that are being shipped. The high efficiency of shipping means that even if these costs increase substantially, the impact on end consumers is minimal and the price premium is barely noticeable for most products. However, this dynamic is quite different for shipping companies and charterers, which are directly affected by rising operational expenses. As such, effective policies are essential to address these challenges within the industry.

Cost, security and climate goals

In the current environment, shipping owners face significant uncertainty, as geopolitical tensions around the Strait of Hormuz continue to drive volatility in bunker fuel prices, like marine gasoil

(MGO). Elevated MGO prices are narrowing the cost gap with synthetic fuels such as methanol and ammonia, at least in Europe. However, LNG stands out as the most cost-effective option, solidifying its position as the preferred fuel choice. Amid the ongoing conflict and unpredictable fuel availability, we expect shipping companies to look beyond cost considerations. Dual-fuel capabilities, diversified bunkering access, and flexible contracts that permit fuel switching are increasingly valuable strategies, especially if high prices persist. This dynamic is expected to accelerate orders for LNG, and methanol-ready vessels, supporting operational resilience while helping to future-proof fleets against further market disruptions. It may also help shipowners meet their climate targets by significantly reducing vessel emissions.

Appendix: scenario assumptions and model explainer

Two commodity price scenarios for the shipping sector from a Northwestern European perspective

Inputs	Low prices (Strait fully open)	High prices (Strait fully closed)
Gas & LNG (€/MWh)	30	50
Power (€/MWh)	75	120
CO_2 (€/ton)	75	100
VLSFO ($/ton)	500	1,000
MGO ($/ton)	750	1,500

Source: ING Research

Model explainer

Indicative emissions are modelled for an 82,000 deadweight tonnage (DWT) vessel, assuming 230 sailing days per year at an average speed of 12.5 knots. The analysis adopts a full life-cycle perspective, covering both well-to-tank (fuel production) and tank-to-wake (onboard combustion) emissions.

Natural gas is assumed as the primary feedstock for grey and blue methanol and ammonia, reflecting current production in Northwest Europe. As a result, no emission reductions from biomass or Direct Air Capture (DAC) are included. While these lower-carbon sources could be deployed in future pathways, particularly for methanol, they would come at higher cost and result in lower overall emissions compared to our figures. In this analysis, the "colour" reflects the pathway used to produce hydrogen: grey hydrogen is derived from unabated natural gas; blue hydrogen combines natural gas with carbon capture and storage (CCS); and green hydrogen comes from electrolysis powered by low carbon electricity.

For blue production routes, a CO2 capture rate of 80% is assumed. The relatively limited electricity demand in grey and blue pathways is assumed to be met by grid power with a carbon intensity of 200 kg CO2/MWh, broadly representative of the Netherlands and Belgium.

For green methanol and green ammonia, it is assumed that electrolysers are fully powered by low-carbon electricity (renewables, hydro or nuclear), sourced via Power Purchase Agreements (PPAs).

Emissions are expressed per tonne-kilometre, ensuring comparability across fuels.

In addition to the assumptions underpinning the emissions' analysis, we've used different economic assumptions for a world where the Strait of Hormuz opens or remains closed. Synthetic fuel costs are modelled using different values for gas, power, carbon and marine fuel prices (see table), while an exchange rate of €1 = $1.18 is used in both scenarios.

Hydrogen production is assumed to take place within a 50km radius of methanol and ammonia plants, with transport via pipeline. This results in hydrogen costs of €1.80/kg (grey), €2.00/kg (blue), and €4.50/kg (green) in the low price environment and €2.70/kg (grey), €3.10/kg (blue), and €6.65/kg (green) in the high price environment.

Finally, the results reflect fuel costs only and exclude vessel capex and opex, so they do not represent total cost of ownership.

Author

Gerben Hieminga
Senior Sector Economist, Energy
gerben.hieminga@ing.com

Rico Luman
Senior Sector Economist, Transport and Logistics
Rico.Luman@ing.com

Disclaimer

Webinar: Directional Economics CEE – who breaks, who bends on Energy Shock 2.0

Join ING's CEE economists for a live webinar on 21 May, looking at how the region copes with the 2026 oil shock. We'll also be analysing the change of government in Hungary and what can be learned from Poland's political experience, plus whether CEE central banks are about to make a policy mistake in reacting to inflation. Sign up here

The oil shock is a macro stress test for the CEE region

Source: Shutterstock

The oil shock that began in March isn't just another commodity move; it's a macro stress test for the CEE region at a time when disinflation was maturing, fiscal space was narrow, and demand was largely fragile. The differences that matter most aren't how much oil a country imports, but who has the institutional shock absorbers to manage the blow.

Join ING's CEE economists for a live webinar examining the fall out on the region from higher energy prices.

You'll learn:

- Which countries entered into this shock in a better position

- Where the structural burden of high oil prices will be felt the most.
- What policy changes can and cannot do
- The spillover to the CIS economies, through external buffers and currencies

Moving away from energy and into politics, we'll also be looking at the challenges facing the new Tisza government in Hungary and what it can learn from Poland's Civic Platform which returned to power in 2023.

And we'll be wrapping up with a look across the region at whether any central bank tightening into this inflation shock would represent a policy mistake.

This webinar will follow the publication of the latest Directional Economics, complete with updated forecasts and analysis of the CEE economies.

Details

Date: Thursday 21 May

Time: 1300 BST/1400 CEST

The webinar will last 60 minutes, including a Q&A session at the end.

The event will take place online and the waiting room will open 60 minutes ahead of the scheduled start time.

A joining link will be emailed following registration, and you will receive a reminder email 10 minutes before the scheduled start time.

Author

Valentin Tataru
Chief Economist, Romania
valentin.tataru@ing.com

Peter Virovacz
Chief Economist, Hungary
peter.virovacz@ing.com

Rafal Benecki
Chief Economist, Poland
rafal.benecki@ing.pl

David Havrlant
Chief Economist, Czech Republic
420 770 321 486
david.havrlant@ing.com

Muhammet Mercan
Chief Economist, Turkey
muhammet.mercan@ingbank.com.tr

Dmitry Dolgin
Chief Economist, CIS
dmitry.dolgin@ing.de

Adam Antoniak
Senior Economist, Poland
adam.antoniak@ing.pl

Chris Turner
Global Head of Markets and Regional Head of Research for UK & CEE
chris.turner@ing.com

FX Daily: Surprisingly low volatility keeps carry trade dominant

Despite the unresolved crisis in the Middle East and inflation spreading around the globe, FX markets remain very relaxed. Traded volatility levels are towards the lower end of five-year ranges. If currencies are not going anywhere, investors will continue to park funds in those offering higher yields. Hence, the ongoing demand for the AUD and NOK

Sterling finally saw some independent weakness yesterday as Westminster politics moved front and centre

USD: Fed pricing shifts more hawkishly

One dominant observation in FX markets right now is that traded volatility is surprisingly low. Despite the prospects of a stagflationary oil shock derailing the global economy, FX volatility levels are not far from their five-year lows. That probably has a lot to do with equity markets, where the AI super-cycle continues to dominate, and we are noting how equity markets are playing a more dominant role in FX pricing than either rate differentials or oil prices. With summer fast approaching, it seems like it will take a lot to shake the market out of its low volatility mindset and will keep the G10 high yielders of the Australian dollar and Norwegian krone in demand as carry trade strategies remain popular. These currencies also benefit from commodity exposure and have seen their terms of trade rise since the Iranian conflict began.

Barring a sharp fall in equity markets, modest moves in currencies will continue to be driven by the next big move in oil prices and how central banks (including the Fed) react to higher inflation. On the former, Brent oil is steady near $106/bl. Look out today for monthly oil market reports from the IEA and OPEC. Later today, we will also see the weekly EIA oil inventory data, where any larger drawdown than the 2 million barrels expected could drive oil prices higher again.

For the Fed, we note that yesterday's above-consensus April CPI numbers have pushed 1-month OIS rates priced one year forward to the highest levels since early 2025. Most are concluding that Kevin Warsh, who should be confirmed as the new Fed Chair today, will have little room to get his dovish message across in the current environment. Today's input to the Fed story will be the April PPI numbers and a speech by the Boston Fed's Susan Collins, seen as being towards the more hawkish end of the spectrum.

With reasonably high deposit rates of 3.65% (one week) and seen as a hedge if oil prices spike or equities turn south, the dollar should stay reasonably in demand for the time being. Given that the DXY dollar index is weighted heavily to European currencies and the yen, DXY can continue to trade in a 98.00-99.00 range. Against emerging currencies, the dollar could come a little weaker in anticipation of some warm words and commercial deals resulting from President Trump's forthcoming trip to China.

Chris Turner

EUR: Low vol environment

EUR/USD three-month traded volatility is now 5.7%. That is more than 1% below realised volatility and not far from the 5.2/5.3% lower end of the range for traded volatility seen over the last five years. That does not mean that a new trend cannot occur, but when looking at the relatively flat risk reversal (the price of a euro call over an equivalent euro put), the conclusion is more range-bound EUR/USD trading.

Given that we see slightly greater upside risks to oil prices from current levels, EUR/USD could come a little lower over the coming sessions. However, good demand should be found once again at 1.1650. On the calendar today is the second release of 1Q26 eurozone GDP – expected at 0.1% QoQ – and a few ECB speakers. The big speeches from Christine Lagarde and Philip Lane do not come until this evening, however. Expect them to hold out the prospect of an ECB rate hike in June, otherwise the euro will get hit.

Chris Turner

GBP: Starmer clings on

Sterling finally saw some independent weakness yesterday as Westminster politics moved front and centre. As it stands, Keir Starmer intends to stay on as prime minister and run in any leadership contest against challengers. Those challengers, such as Wes Streeting, Andy Burnham or Angela Rayner, have yet to formally declare themselves in the race. Today could prove a day of rest in political manoeuvring, given the state opening of parliament and King Charles delivering Labour's planned legislation over the next term. However, any of those candidates formally launching a leadership bid would probably result in fresh sterling losses – especially any news on Andy Burnham, whose policies are seen threatening the gilt market.

High yields are probably providing sterling with a little insulation at the moment, but we would expect good demand in EUR/GBP under 0.8650.

Chris Turner

CEE: Newsflow from Hungary is running out of steam but the story remains bullish

The Czech Republic will publish the final estimate of April inflation today. The headline should be confirmed at 2.5% YoY after a quick jump from multi-year lows to 1.4% in February. The flash estimate suggested that core inflation rose from 2.9% to 3.0%, which will be the market's focus today. At the same time, the structure of service prices will get some attention, where we already saw growth in imputed rents and other items in YoY terms in March, which is worrying the Czech National Bank. At the same time, the market is again pricing in three rate hikes, up from two last week, in the one-year horizon, heading in a hawkish direction once again.

Elsewhere in the region, we continue to monitor the steps of the new Hungarian government, where yesterday the newly appointed Minister of Finance spoke about the plan for euro adoption, meeting the criteria by 2030 and revising this year's budget and setting a consolidation trajectory in the future. All this is exactly what the market wants to hear, and we saw rates and bonds once again outperforming CEE peers.

On the other hand, the minister also mentioned the preference for lower bond yields over further FX gains. The comment comes after a more than 5% rally since the general election in April. The comments, together with the risk-off global environment, are driving EUR/HUF higher, closing above 358 yesterday, back to last Thursday's levels. Of course, positioning is heavy and the news flow from Hungary is drying up. As we discussed here on Monday, some corrections are expected in the current environment, but in our view, there is still some room for optimism, and the market will use the current weakness in the forint as an opportunity for new longs, and we keep 350 EUR/HUF as our mid-year forecast.

Frantisek Taborsky

Author

Chris Turner
Global Head of Markets and Regional Head of Research for UK & CEE
chris.turner@ing.com

Frantisek Taborsky
EMEA FX & FI Strategist
frantisek.taborsky@ing.com

Francesco Pesole
FX Strategist
francesco.pesole@ing.com

Disclaimer

Webinar: Oil, Iran and the markets: what happens next?

Join ING's economists and strategists for a live webinar on 15 May, looking at the scenarios for energy prices and the impact across the global economy and financial markets. Sign up here

Source: Shutterstock

Ten weeks on from the start of the Iran war and energy markets remain in limbo. Traffic through the Strait of Hormuz shows little sign of recovery. Will this week's meeting between Presidents Trump and Xi see a breakthrough? And just how far could oil prices fall if diplomacy succeeds – and rise if it doesn't?

Join ING's economists and strategists for a live webinar looking at the scenarios for energy prices and the impact across the global economy and financial markets.

You'll learn:

- Where oil and natural gas prices head under different Middle East scenarios

- How fragile the supply picture really is – and what oil futures tell us about investor expectations

- Whether the Federal Reserve can really hike rates this year and what Chair Kevin Warsh could mean for the interest rate outlook

- The outlook for EUR/USD and the main drivers of FX markets right now

- Why credit spreads have stayed tight and whether supply conditions are improving for issuers

This webinar will follow the publication of the latest ING Monthly, complete with updated forecasts and analysis of the major economies

Details

Date: Friday 15 May

Time: 0930 BST/1030 CEST

The webinar will last 45 minutes, including a Q&A session at the end.

The event will take place online and the waiting room will open 60 minutes ahead of the scheduled start time.

A joining link will be emailed following registration, and you will receive a reminder email 10 minutes before the scheduled start time.

Speakers

- **Warren Patterson** (Head of Commodities Strategy)
- **James Knightley** (Chief International Economist, US)
- **Chris Turner** (Global Head of Markets and Regional Head of Research for UK & CEE)
- **Timothy Rahill** (Credit Strategist, ING)
- Hosted by **Rebecca Byrne** (Deputy Global Head of Editorial)

Author

Warren Patterson
Head of Commodities Strategy
Warren.Patterson@ing.com

James Knightley
Chief International Economist, US
james.knightley@ing.com

Chris Turner
Global Head of Markets and Regional Head of Research for UK & CEE
chris.turner@ing.com

Timothy Rahill
Credit Strategist
timothy.rahill@ing.com

Rebecca Byrne
Deputy Global Head of Editorial and Supervisory Analyst
rebecca.byrne@ing.com

Rates: The hidden force pushing gilt yields to record highs

The 10Y gilt yield hit new highs on the back of inflation and political risks, but investors should not ignore the role of the Bank of England's QT in this. We estimate the 2s10s GBP curve steepened by 60bp more than the USD curve due to the increased gilt supply and the divergence can continue. This could also be a lesson for Warsh who may look to walk a similar path

The Bank of England, London. The central bank's quantitative tightening is adding to the upward pressure on gilt yields

Global factors add to GBP term premium, but not entire story

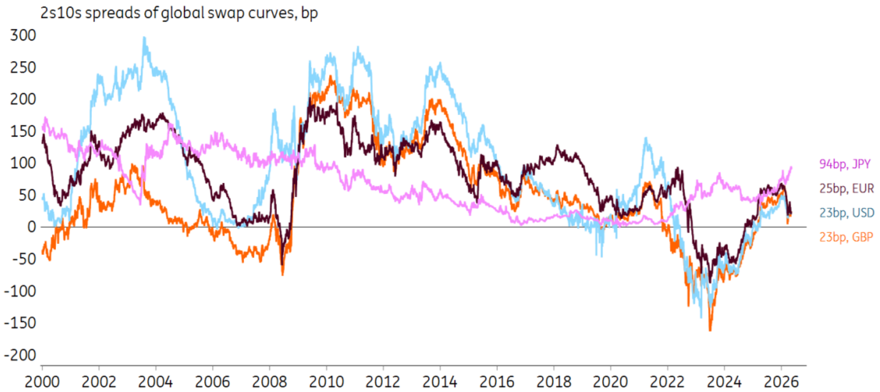
The 10Y gilt yield has hit its highest level since 2008, and whilst the near-term focus remains on oil prices and politics, the Bank of England's balance sheet unwind poses further upside risk. And with the discussion about quantitative tightening (QT) flaring up again in the US under new Fed leadership, markets can learn from the potential impact on US rates by looking at the UK.

Sterling rates are relatively sensitive to global market moves, and the spillovers from the US term premium play an especially important role. Between 2023 and today, the correlation of weekly changes in the 2s10s of the GBP curve and the US curve has been a significant 0.6. If we take the 2s10s term spread as a rough proxy of the term premium, both seem to be similar at first sight.

The market optimism in US equity markets helps the US curve steepen again and also adds to the upward pressure on gilt yields.

Japan's curve shows a very different picture, and therefore we cannot simply assume a single global factor explains all term premia. For one, Japan's economy has followed a very different path compared to other countries, experiencing stagflation for prolonged periods of time. Second, and of more importance to our analysis, is the fact that the Bank of Japan has intervened significantly more in the rates market through balance sheet policy than other central banks.

Global term premia are strongly correlated but domestic factors play a role too

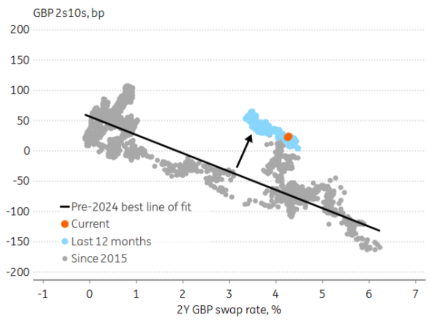


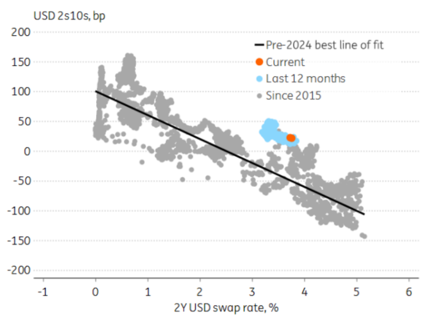
Source: ING estimates, Macrobond

Besides a global factor, the term spread is also driven by the business cycle. When a central bank hikes rates, curves tend to flatten, and vice versa. These moves seem more pronounced than purely explained by changes in the expected policy rates. As such, the 2Y rate is arguably an important ingredient for the term premium.

And indeed, when looking over the past decade, the 2Y and the 2s10s show a strong negative correlation. The interesting observation here is that the term premium of the GBP curves seems to have increased disproportionately to the change in 2Y rates. This effect is also visible for the USD curve, but to a much lesser extent.

When accounting for 2Y dynamics, the GBP curve recently steepened more than the USD curve



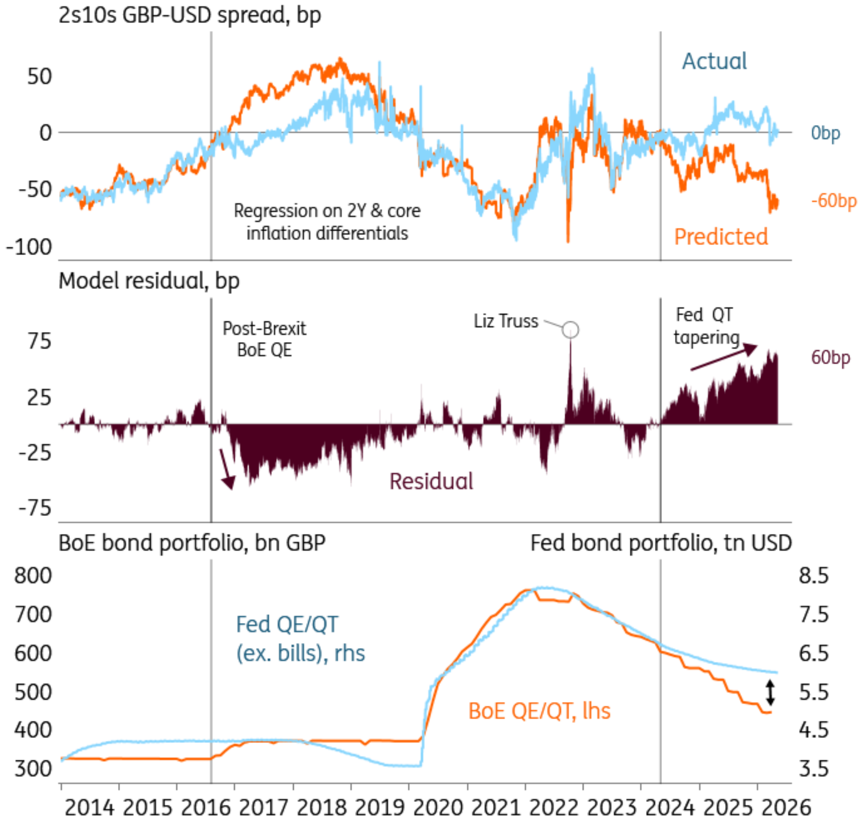


Source: ING estimates, Macrobond

We explore the divergence by looking at the spread differential of the 2s10s between the GBP and USD curve. Besides the 2Y spread differential, we add relative inflation to the model, which greatly improves the fit when used in conjunction with 2Y rates. Inflation differentials capture changing macro regimes and can help explain the term premium investors demand for holding longer dated bonds.

Our three variable regression model (Fig 3) captures 83% of the variation in the difference between the 2s10s of the GBP and USD curve, whereby especially the residuals are of interest. We can easily identify three events that explain the deviation from our model, namely 1) QE by the Bank of England starting in 2016, 2) the Lizz Truss moment in 2022 and 3) the Fed's tapering of QT in 2024. Outside of these periods the residual is close to zero, suggesting we are not missing any important variables.

QT seems to play a part in explaining a 60bp steeper GBP 2s10s curve

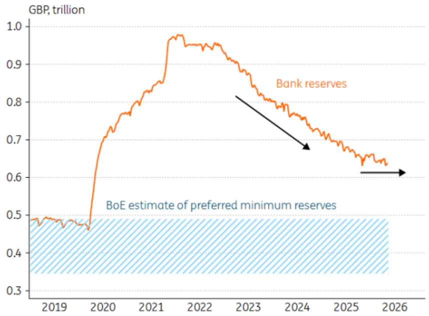


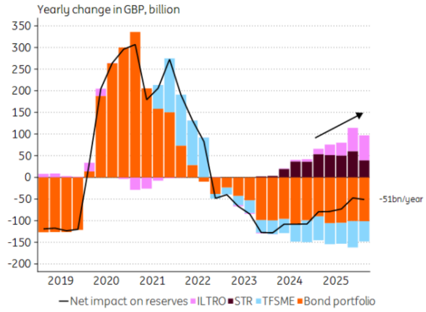
Source: ING, Macrobond

Whilst the Fed announced a significant tapering of QT in May 2024, the pace of QT has remained much higher in the UK, helping explain the residual in our model. The Bank of England is continuing with active sales, bringing the wind-down to a significant £70bn per year. In terms of numbers, the 2s10s GBP curve is now some 60bp steeper since this divergence in monetary policy.

The Fed faced reserve constraints, forcing it to slow QT, but the Bank of England does not have this problem, allowing QT to continue. Even though shrinking the bond book has extracted reserves from the banking system, a significant uptake of the Short Term Repo (STR) and Indexed Long-Term Repo (ILTR) have managed to stabilise reserves. In effect, the market stress in US repo markets never showed up in sterling markets.

Significant pickup in BoE liquidity facilities are preventing reserves from falling, allow QT to continue



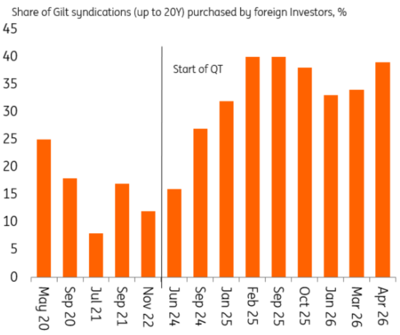


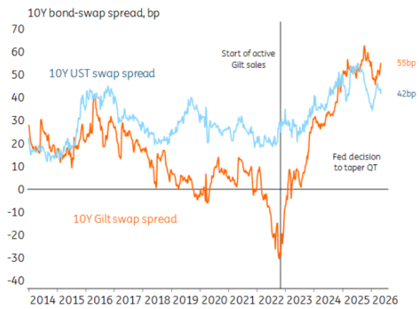
Source: ING estimates, Bank of England, Macrobond

With money markets seemingly stable, in theory, the Bank of England can continue unwinding the gilt portfolio, albeit at the expense of higher government borrowing costs. An August report from the Bank of England suggested that QT had an impact of 15-25bp as of then on longer-dated rates. But when you also include the changes in swap spreads, our estimate of the impact from QT on gilt yields is significantly higher. Since the start of QT, the 10Y Gilt-swap spread rose more than 80bp, adding to the steeper swap curve.

With more gilt supply continuing to hit the market, including significant government issuance, investors may demand higher yields to be lured in. Already we see that gilt auctions have started to rely more on foreign demand to clear since the start of QT in 2023. Before 2023, the foreign uptake of gilt syndications up to 20Y was just 10%. This increased to over 25% after the start of QT. Foreign investors tend to be more price sensitive compared to domestic players such as banks, pension funds and insurance funds. Domestic players are more likely to buy gilts for reasons like liquidity and hedging regulation.

Since QT, gilt markets have relied on more price-sensitive foreign investors, helping push up 10Y gilt yields





Source: ING estimates, DMO, Macrobond

So while we continue to see a rising term premium for the UK, we think a dovish repricing of policy rates should start bringing down the curve. But the scope for lower 10Y gilt yields is limited. We identify 4.5% as a realistic fair value in 2027. We believe the dynamics in the UK serve as a good lesson for Fed policy too. If new Chair Kevin Warsh manages to follow up with his plans to unwind the Fed's bond portfolio at an accelerated pace, then the US curve should see more steepening.

Author

Michiel Tukker
Senior UK & Eurozone Rates Strategist
michiel.tukker@ing.com

Disclaimer

Rates Spark: Hard to see a ceiling for gilt yields

Gilt yields can continue to rise, not just because of political risks, but also on the back of the Bank of England's quantitative tightening. Meanwhile, US Treasuries continue to feel pain from the never-ending shuttering of the Strait, with April CPI data already high, and set to rise further in the coming months. Not great for core bonds generally

Rates in the US (higher inflation) and the UK (political angst) continue to drift upwards

Politics are adding to the long list of bearish gilt forces

Gilt yields continue to rise on the back of the political turmoil around Labour's leadership and yields can still push higher. The fear is that a new prime minister would have a looser hand when it comes to fiscal policy. If this is the case, then increased near-term government spending would make further Bank of England easing even less likely whilst adding to the issuance of government bonds.

Besides political and inflation risks, we also identify increasing gilt supply as a slow-moving force pushing up yields. Whereas the Fed has significantly reduced the pace of quantitative easing, the Bank of England still reduces its bond portfolio by around £70bn per year. We estimate that this has steepened the GBP swap curve by some 60bp more relative to the USD curve. And with bank reserves stabilised, the Bank of England does not necessarily need to taper quantitative tightening on the back of financial stability concerns.

For gilt yields to make a material push lower, we would first need to see inflation risks come down. Higher oil prices are the main culprit, but the additional political risks make the picture even more complex. So, unless oil makes a significant move lower – which we're sceptical about even if a deal were to be found in the near term – then gilt yields are likely to remain higher for the time being.

US inflation added to the pain for Treasuries

Tuesday saw headline US CPI inflation come in at 3.8% year-on-year for April. It was 2.4% before the war. That's a 140bp uplift, and it's not done. As it is, we're set to hit 4% in May. Core hits 3% down the line. A persistence to the war and we risk adding to that. Getting to 5% inflation is quite probable if it goes on and on. From here, we likely have another week of waiting and watching the war given the China summit distraction, with the Strait remaining shut tight. All the while, Treasury yields are pressured higher.

The 10yr, now at 4.45%, has 4.5% in its sights. And once there, it will meet buyers, as that's a level that flags a structural buy for many players. That said, it can just as easily sail on higher, especially as there is no easing in price pressures to help calm things down. The rise in yields post the CPI release was through higher inflation expectations and higher real yields, and there was also an edge higher in the swap spread. All quite tame so far. More re-pricing rather than outright selling.

But it risks getting less tame ahead. The Fed can't cut here. And risk assets are pushing the boundaries of positivity (or have been). It's a cocktail that Treasuries really should not feel comfortable with. Tuesday saw a 10yr auction test. There was a slight tail, which is never great, but no big issue. This, and the 30yr auction on Wednesday, are being helped by the concession built in the past couple of weeks (even if that concession is set to build further, in our view).

Wednesday's events and market views

In terms of data, we have second estimates of first quarter 2026 eurozone GDP growth, which earlier came in lower than expected at 0.1% quarter-on-quarter growth. The eurozone industrial production numbers from March are expected to come in lower, but still showing month-on-month growth when seasonally adjusted. From the US we have PPI numbers for April.

From the ECB we have Chief Economist Lane and President Lagarde speaking in the evening.

In terms of supply, Ireland plans a €2bn tap of its Green October 2043 bond via syndication. Italy will auction 3y, 7y and 12y BTPs for a total of €7.5bn. Portugal is set to auction 4y and 10y OTs for a total of €1.5bn. Germany will auction 21y and 28y Bunds totalling €2.5bn. The US will auction a new 30y bond for a total size of $25bn.

Author

Michiel Tukker
Senior UK & Eurozone Rates Strategist
michiel.tukker@ing.com

Padhraic Garvey, CFA
Regional Head of Research, Americas
padhraic.garvey@ing.com

FX Daily: Impact of US CPI mostly depends on equities

We expect a hotter-than-consensus 0.9% MoM US headline CPI print today. That can endorse the hawkish momentum in the USD curve even if the core rises at a moderate 0.3% MoM. Upside for the dollar depends more on whether those figures – paired with the stall in US-Iran negotiations – finally take some shine off ultra-resilient equities

Another 0.9% MoM inflation jump is expected in the US, driven by rising gasoline and diesel prices

USD: Another 0.9% MoM inflation jump

US CPI data for April is released today, and we forecast a second consecutive 0.9% MoM headline print, taking YoY inflation to 4.0%. This would be above the 0.6% MoM / 3.7% YoY consensus, although we are in line with expectations of a 0.3% MoM / 2.7% YoY core CPI print. The rebound in the headline will be driven primarily by gasoline and diesel prices, while a recovery in medical care and recreation prices should account for the 0.3% MoM acceleration in core.

That core figure is ultimately what matters most for the Fed. Still, it is probably too early to expect clear evidence of second round effects, and we suspect that a hotter than expected headline print could be sufficient to give the recent hawkish repricing in the USD swap curve some additional momentum. There is currently 7bp of Fed tightening in the curve by year-end.

The positive implications for the dollar, however, may depend more on the equity channel than on rates. Global risk sentiment has remained a more dominant driver than short term rate differentials and oil prices for several USD crosses, including EUR/USD. Good days for the greenback have generally coincided with bad days for equities of late. Let's see whether fears of a rate hike can prompt fresh stock valuation concerns.

That said, CPI is still likely to play second fiddle to any meaningful developments related to Iran. Recent days have underscored how far apart Iran and the US remain on key aspects of a nuclear deal. At the same time, markets have been reluctant to price a renewed escalation, despite Trump's claim yesterday that the ceasefire is "on life support" and further reports of military activity in the Strait of Hormuz. The longer this stalemate persists, the greater the upside risks for the USD, both in the near term and over the medium run – the latter via a more prolonged drag on the global economy, to which the dollar is typically negatively correlated.

Francesco Pesole

EUR: ZEW to remain pessimistic

EUR/USD has continued to hold up well alongside risk sentiment despite growing pessimism about a resolution in the Gulf. But any meaningful equity correction would likely prove incompatible with current levels, even if ECB pricing remains more hawkish than the Fed's.

Today's eurozone calendar includes the ZEW surveys, which will give a first glimpse of sentiment in Germany in May. Consensus is looking at a further deterioration in both the expectations and current situation indices. These surveys can be hard to interpret in such a geopolitically volatile environment, but the message should be one of (predictable) worsening in the eurozone's growth outlook.

Our view of EUR/USD remains bearish-leaning unless we start to see tangible steps towards a US-Iran peace deal. A break above 1.180 hardly looks sustainable in this environment, and a retest of 1.170 looks more likely if anything.

Francesco Pesole

GBP: More political premium can build

Pressure on UK Prime Minister Keir Starmer intensified further yesterday after the Home Secretary, Shabana Mahmood, joined more than 70 MPs in calling for his resignation. Betting markets are now pricing in a very high probability that Starmer will leave office this year, and investors are likely to interpret any forthcoming scheduled address by the Prime Minister as a potential resignation announcement.

The pound started coming under pressure yesterday afternoon (after a strong session) as calls for Starmer's resignation intensified. For the first time in a long time, some political risk premium seems to be emerging in EUR/GBP. That is, however, still small according to our model, around 0.3% short-term overvaluation.

The pound has plenty of additional room to build a negative premium, with markets likely to shift their focus to which candidate holds the best chance of replacing Starmer. Andy Burnham, Wes Streeting and Angela Rayner are considered the frontrunners. Notably, sterling came under pressure recently following reports that Burnham could seek a parliamentary seat to advance a leadership bid, reflecting concerns that his views on abandoning the fiscal rule could undermine a key anchor of market confidence in UK public finances.

Francesco Pesole

CZK: CNB may wait a long time with rate hikes

The Czech National Bank yesterday revealed details of its new forecast, and we heard more views from Deputy Governor Eva Zamrazilova. Of note from the forecast is an alternative scenario showing an economic slowdown if energy prices continue to rise, which the CNB forecasts would result in rate cuts of around 50bp, assuming oil prices above $100/barrel in the first half of the year. In that case, the Czech economy would be heading somewhere towards a 1.0-2.0% growth range. Of course, the CNB is also showing alternative scenarios showing higher rates, but Governor Ales Michl mentioned this scenario during a press conference last week as one of the reasons not to raise rates for now.

The Deputy Governor also mentioned that she sees a low risk of policy mistakes if the CNB does not react, and the central bank can avoid hasty reactions. We also heard a repeated warning that the CNB will react if necessary, but overall, a dovish subtext can be seen in the current communication.

This goes significantly against market pricing, which yesterday returned to about three rate hikes in the one-year horizon, with the first rate hike at the August meeting. This is similar to Poland and more than the ECB at this point. However, the CNB is making it clear that it does not want to rush into action and wants to keep the rate where it is, which is already a restrictive environment compared to other central banks such as the ECB, where the real rate is negative, according to the bank board.

EUR/CZK returned to pre-conflict levels last week and we see little reason for further koruna appreciation in the current setup. Headline inflation in the coming months should fall compared to April due to the base effect from last year and some decline in fuel prices, which will allow the CNB to wait further. The rate differential should decrease, and the Czech economy is already showing significant signs of slowing. Therefore, pricing hikes seem excessive and at the same time, EUR/CZK, apart from global sentiment, does not have much reason to further fall below 24.250 – rather the opposite.

Frantisek Taborsky

Author

Francesco Pesole
FX Strategist
francesco.pesole@ing.com

Frantisek Taborsky
EMEA FX & FI Strategist
frantisek.taborsky@ing.com

Chris Turner
Global Head of Markets and Regional Head of Research for UK & CEE
chris.turner@ing.com

Disclaimer

Rates Spark: A lot not to like for bonds

Tough to see much progress on the US-Iran "talks" this side of the Trump-Xi summit. As we wait, Treasuries feel pain. EUR rates still closely follow the bear-flattening/bull-steepening dynamic alongside oil prices. It's not just oil as a driver for gilt yields; they remain pressured higher by worries politics could get fiscally more expansive

Euro rate curves continue to follow the oil price narrative

Another wait; takes us to the weekend. Another week, and US Treasury stress ramps

Given the importance of the US-China bilateral summit this week, the war with Iran is put on the back burner as a front-and-centre issue; at least for President Trump, probably. The messaging is clear – patience, and no agreement given what Iran came back with. In consequence, inflation expectations are re-ratcheting higher, and the US 10yr yield is back above 4.4%.

Assuming minimal progress and no lasting agreement for the rest of this week, the odds favour a trek in the direction of 4.5% for the 10yr yield. So far it's been steady and measured, and there, in fact, has been no material selling of Treasuries. Most of the yield movement has been a repricing in line with higher inflation risks. We run the risk of some outright selling, a more disorderly market.

We'll see CPI inflation on Tuesday, which will confirm headline inflation for April rounding up to 4% and core inflation rounding up toward 3%. Plus, there is every reason to expect that solidified from the subsequent May readings. With 10yr SOFR in the 4% area, it's only marginally above where headline inflation will print.

That tight real interest rate outcome keeps the pressure to the upside for nominal rates.

EUR curves still follow the oil price narrative, while UK yields face additional drivers

While oil prices rose and dragging rates higher alongside, there were also other narratives putting upward pressure to varying degrees across the different curves. In the eurozone, the bear flattening largely followed the accustomed inflation-driven curve dynamic. Markets nudged up the rate hike discount alongside oil prices to just over 70bp of tightening by year-end. The 10y Bund yield, meanwhile, rose a little further above the 3% mark but shows continued reluctance to venture too far from that mark.

The underperformer coming out of the weekend were sterling rates as UK politics have moved into focus following the local elections. 30y gilts rose as much as 9bp – compared to 3bp in Bunds – as calls for PM Starmer to resign are growing and markets eye the possibility of a successor following a fiscally more expansive route. The story is not just about the additional gilt issuance to absorb, but also about the Bank of England potentially having less room to ease over the coming years. This is shown by the fact that the 2Y rate rose almost in parallel with the 30Y. With gilt yields still relatively stable, we don't, however, see signs of threats to financial stability, as for example, during the Liz Truss episode in 2022.

Tuesday's events and market view

The data highlight of the day is the US CPI release for April. Expectations are for the headline rate to rise to 3.7% from 3.3% year-on-year with the core rate accelerating to 2.7% from 2.6% YoY. Other US releases are the NFIB small business optimism and the weekly ADP employment figures. Goolsbee and Williams are the only scheduled Fed speakers.

The only notable release out of the eurozone is the German ZEW sentiment indicator, which is expected to sink deeper into negative territory. From the ECB, Nagel and Dolenc are expected to speak.

Primary markets will be busier with Belgium having announced a 5y syndicated sale alongside the scheduled auction from Germany (€6bn in 2y bonds) and the Netherlands (€2-3bn in 10y bonds). In SSAs, the EU announced a mandate for a new 7y bond alongside a 30y tap.

The UK will auction 5y gilts (£4bn) and after the 3y notes auction on Monday the US Treasury follows up with the sale of a new 10y UST on Tuesday (US$42bn).

Author

Benjamin Schroeder
Senior Rates Strategist
benjamin.schroder@ing.com

Michiel Tukker
Senior UK & Eurozone Rates Strategist
michiel.tukker@ing.com

Padhraic Garvey, CFA
Regional Head of Research, Americas
padhraic.garvey@ing.com